

****Cookie Walls: Statistics Were Not a Necessary Part of the Alternative to Paid Access****

****Date: 18-03-2024****

****Decision****

****Private Companies****

****Order****

****Complaint****

****Processed by the Data Council****

****Legal Basis****

****Cookies / Processing of Personal Data about Website Visitors****

The Data Protection Agency has made new decisions in the cases concerning JFM's and GulogGratis' practices regarding the use of cookie walls, after the companies requested the reopening of the cases.

****Journal Number: 2023-31-0217.****

****Summary****

On February 8, 2023, the Data Protection Agency made a decision regarding JFM's and GulogGratis' use of cookie walls. The Agency found grounds to issue orders to the companies to demonstrate that the processing of personal data for statistical purposes was also a necessary part of the alternative to payment.

Following the Data Protection Agency's order, the Agency made further decisions in the cases on June 9, 2023. The Data Protection Agency found that JFM and GulogGratis had not demonstrated that the processing of personal data for statistical purposes could be considered a necessary part of the alternative.

JFM and GulogGratis subsequently requested the Data Protection Agency to reopen the cases.

****Data Protection Agency Rejects Reopening of JFM's and GulogGratis' Cases****

The Data Protection Agency concluded that neither JFM nor GulogGratis had presented new information of such significance that there was grounds to reopen the cases. The Agency noted that JFM's and GulogGratis' processing of personal data for the purpose of conducting statistics did not have a direct connection to the financing of the content. The Agency further noted that the marketing purpose—unlike the statistical purpose—fundamentally made it possible and attractive for advertising partners to purchase access to banner ads, etc., on the website to run personalized ads and thereby generate advertising revenue.

Finally, the Data Protection Agency pointed out that the marketing purpose, which involved the disclosure of personal data to advertisers for the purpose of personalized advertising, should be considered a separate purpose in relation to the statistical purpose from a data protection law perspective.

JFM's and GulogGratis' requests for reopening have been processed by the Data Council.

****Decision (GulogGratis)****

GulogGratis.dk A/S ("GulogGratis") made a renewed inquiry to the Data Protection Agency on October 6, 2023, in the case where the Agency made a decision on February 8, 2023, regarding GulogGratis' use of cookie walls. The Data Protection Agency found that GulogGratis had not demonstrated that the company's processing of personal data was in accordance with the General Data Protection Regulation (GDPR) Article 6, paragraph 1, letter a, and Article 4, number 11, cf. the Regulation's Article 5, paragraph 2, cf. Article 5, paragraph 1, letter a.

The Data Protection Agency therefore found grounds to issue GulogGratis an order to demonstrate that the consent obtained from visitors to guloggratis.dk meets the GDPR's requirements for voluntariness, cf. GDPR Article 4, number 11.

As a follow-up to the Data Protection Agency's order, the Agency made an additional decision in the case on June 9, 2023. The Data Protection Agency found that GulogGratis had not demonstrated that the processing of personal data for statistical purposes could be considered a necessary part of the

alternative to paid access.

GulogGratis then requested the Data Protection Agency to reopen the case on October 6, 2023. The Data Protection Agency has considered whether GulogGratis' inquiry warrants the reopening of the case. However, what GulogGratis has stated does not provide the Data Protection Agency with grounds to reopen the processing of the case.

In this context, the Data Protection Agency emphasized that GulogGratis' inquiry does not contain new factual information about the case of such significance that the case would yield a different outcome.

GulogGratis' request for reopening of October 6, 2023, has been processed by the Data Council.

Below follows a review of the case and a justification for the Data Protection Agency's refusal to reopen.

1. ****GulogGratis' Comments****

GulogGratis has stated in its request for reopening on October 6, 2023, that the processing of personal data for statistical purposes occurs for:

"Optimization of User Advertising

GulogGratis conducts interaction analyses, where we can identify which user ads create the most 'engagement', as well as see and analyze how users interact with user ads and other content.

These interaction analyses enable us to tailor and optimize our platform and website according to our users' preferences, which, in light of the premise for our platform, has significant commercial and economic value for GulogGratis.

Specifically, these interaction analyses constitute an important tool for defining:

- Which functionalities users utilize the most (or least) when creating user ads, including what the reasons for this may be; and
- Which characteristics of a user ad (e.g., images, product specifications, descriptions) potential 'buyers' place the most (or least) emphasis on."

****Interaction Analysis****

Interaction analysis can occur at both the individual and population levels. The better our platform matches our users' preferences, the greater revenue we generate, including through advertising.

****Optimization of Advertising****

Just as GulogGratis conducts interaction analyses to optimize user advertising, as mentioned above, this is also done to observe and analyze how users interact with advertisements on the website. These interaction analyses enable us and our advertisers to optimize our/their advertising, including, for example, regarding which types of advertisements are most effective (which advertisements are clicked on the most). This should be viewed in light of the fact that the entire ecosystem built around online advertising and marketing generally has significant commercial and economic value for GulogGratis. Interaction analyses can also occur at both the individual and population levels here. The optimization of advertising is closely linked to the advertising itself on the website, as future (optimized) advertising is directly dependent on statistics related to previous advertising.

GulogGratis has further stated that the company uses statistics in a manner that should be equated with targeted marketing when it comes to the commercial and economic value of the statistics. This is particularly due to the fact that this form of advanced statistics for advertising (marketing) practically constitutes an integrated part of GulogGratis' business model. Furthermore, GulogGratis has stated that the division between statistics and marketing as separate purposes is, in reality, a result of the development within the development and operation of websites and the authorities' supervision thereof. The connection between the two purposes is, in the company's view, so close that it can be debated whether there are actually two separate purposes rather than one and the same purpose.

In connection with this, GulogGratis has stated that the company's use of advanced statistics, including in the form of interaction analyses at both the individual and population levels, as part of the optimization of advertising is directly linked to the advertising on the website itself and thus the

generation of revenue in ways other than through users' payments. For this reason, the processing of personal data for both statistical and marketing purposes constitutes part of a reasonable and necessary payment alternative. It is therefore also GulogGratis' assessment that the payment alternative that GulogGratis had established in its cookie wall on the website represented one overall payment alternative consisting of two interconnected (sub)purposes, which both commercially and economically corresponded to the user's opportunity to pay with (physical) money.

Finally, GulogGratis has stated that the company – when assessing what constitutes a reasonable and necessary overall payment alternative – has the right to exercise a certain discretion, which, concretely, and in GulogGratis' view, lies within what the Data Protection Authority should accept.

****2. Assessment of the Data Protection Authority****

The Data Protection Authority has assessed whether GulogGratis' request of October 6, 2023, gives rise for the authority to reopen the case. This is not the case, as the request, in the authority's opinion, does not contain new factual information about the case of such significant importance that the case would have a different outcome. The Data Protection Authority notes that GulogGratis' processing of personal data for the purpose of conducting (advanced) statistics cannot be considered to have a direct connection to the financing of the content. The marketing purpose fundamentally makes it possible and attractive for advertising partners to purchase access to banner advertisements, etc., on the website and run personalized advertisements and generate advertising revenue.

Statistical purposes, on the other hand, allow GulogGratis to conduct analyses of how the website's content and advertising, etc., can be optimized. This enables the website to be organized in a more appropriate manner, thereby making it more attractive for, for example, (paying) users and advertisers.

It remains the Data Protection Authority's opinion that statistical purposes and marketing purposes are two separate purposes in terms of data protection law, of which only the marketing purpose constitutes a necessary part of the alternative to access in exchange for payment. In this context, the former Article 29 Working Party has stated that the data controller should generally avoid identifying a single broad purpose to justify a range of processing activities related to the initial purpose. Each individual purpose must also be sufficiently specifically formulated so that the data subject can assess whether the collection of personal data for that purpose is lawful.

Furthermore, it appears from the EDPB's guidelines on consent that a data controller obtaining consent for multiple different purposes must provide the option to opt-in for each individual purpose so that users can give specific consent to specific purposes. Finally, the Court of Justice of the European Union in its judgment of February 24, 2022, in case C-175/20, "SS" SIA v. Valsts ieņēmumu dienests, emphasized the importance of the data controller specifying the specific purposes for the collection of personal data, particularly to enable the data subject to ensure that the subsequent processing, including disclosure, of the information is lawful.

Such a division and specification of the purposes for processing personal data also aligns with the Data Protection Authority's guidance on the processing of personal data concerning website visitors and the authority's supervision thereof.

Guidance on Direct Marketing.[5]

In this regard, the Data Protection Agency notes that the processing of personal data regarding how visitors use the website for the purpose of customizing and optimizing the website should be regarded as a separate purpose in terms of data protection law from the processing, including the disclosure, of personal data to advertisers for the purpose of personalized advertising.

[1] Regulation (EU) 2016/679 of the European Parliament and of the Council of 27 April 2016 on the protection of natural persons in relation to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation).

[2] Opinion No. 3/2013 of the Article 29 Working Party on purpose limitation (WP203), p. 16.

[3] EDPB Guidelines 5/2020 on consent under Regulation 2016/679, version 1.1 of 4 May 2020, p. 15.

[4] Case C-175/20, paragraph 71.

[5] See the Data Protection Agency's guidance on the processing of personal data about website visitors, example 10, which should be viewed in conjunction with example 7 of the guidance. See also the Data Protection Agency's guidance on direct marketing, p. 9 “[...] the concept of marketing [will] generally relate to a range of different processing activities in terms of data protection law. It will therefore often not be sufficient to merely state marketing as a purpose.”